TECH TRENDS

SECTOR UPDATE

nuvama institutional equities

Q2FY26: Growth and valuations bottom out

Indian IT Services companies outperformed expectations in Q2FY26 with stronger growth, margin expansion and robust deal-wins. Most reported sequential growth or were flat, with margins led by FX gains and operational efficiencies. Infosys and HCL Tech raised the lower end of their FY26 revenue guidance while others maintained their outlook. Tier-2 firms continued to outperform Tier-1 peers.

We expect the demand environment to remain challenging for the next one–two quarters due to the macro and tariff-led uncertainty. But we remain positive on medium-to-long term outlook as technology debt continues to be very high for enterprises, which demands a revival in spending as macro improves.

Growth beats expectations; stable margins; focus on AI-led deals

IT Services companies reported revenue growth better than expectations. Tier-2 companies continued to outperform large caps, although all large-cap companies have returned to growth, posting sequential growth, whereas small caps had a muted quarter. Overall, ZERO companies under our coverage reported QoQ decline in Q2 – versus eight companies reporting QoQ decline in Q1FY26. Margins were largely stable across the sector, with most companies reporting in line with expectations. Deal bookings have been strong across most companies. Global peers too delivered robust results, with most raising their guidance. Demand environment remains stable, with companies prioritising strategic investments in next-gen technologies, particularly AI, to drive future deal-wins and revenue growth.

Guidance maintained; Manufacturing and Retail remain soft

Most IT services companies maintained their FY26 revenue guidance while keeping margin outlooks unchanged. Infosys and HCL Tech raised the lower end of their growth guidance. Coforge and Persistent reported broad-based growth across regions and verticals. BFSI remained strong for most other companies while Manufacturing and Consumer faced pressure from tariff-led uncertainty. Europe and the US remained largely stable. Nearly all companies highlighted their reduced reliance on H1-B visas over the past few years, leading to greater investment in offshore and nearshore locations that have contributed to margin expansion.

Near-term weakness; remain positive over medium-to-long term

Rapid macro deterioration since the beginning of CY26 is likely to lead to a modest FY26 with a potential recovery in H2. We expect the growth for large-caps to be tepid in the near term due to macro headwinds, but recover over medium term with a revival in technology spends and the mammoth opportunity led by Gen AI. Tier-2 companies are likely to sustain their strong growth momentum. All along, estimates have been adequately cut and stocks have corrected sharply (-15%, last 12M)—and now trading at highly attractive valuations, almost in line with their ten-year average. We maintain '**BUY**' on Coforge, Persistent, Mphasis, LTIMindtree, Hexaware, TCS and Infosys. We remain negative on TechM and Birlasoft.

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Q2FY26 summary

Exhibit 1: CC revenue growth largely ahead of expectations

Company	USD rev			Reported		CC QoQ growth		
	Q2FY26	Q1FY26	Q2FY25	% QoQ	% YoY	Expectations	Actual	Difference (Miss/ Beat)
TCS	7,466	7,421	7,670	0.6%	-2.7%	0.2%	0.8%	0.6%
Infosys	5,076	4,941	4,894	2.7%	3.7%	1.8%	2.2%	0.4%
HCL Tech	3,644	3,545	3,445	2.8%	5.8%	1.5%	2.4%	0.9%
Wipro	2,604	2,587	2,660	0.7%	-2.1%	0.1%	0.3%	0.2%
Tech Mahindra	1,586	1,564	1,589	1.4%	-0.2%	0.9%	1.6%	0.7%
LTIMindtree	1,180	1,153	1,127	2.3%	4.7%	1.9%	2.4%	0.5%
Coforge	462	442	369	4.5%	25.1%	6.0%	5.9%	-0.1%
Persistent	406	390	346	4.2%	17.6%	3.7%	4.4%	0.7%
Mphasis	445	437	421	1.8%	5.7%	1.3%	2.0%	0.7%
Hexaware	395	382	374	3.3%	5.5%	3.2%	3.4%	0.2%
Zensar	163	162	156	0.5%	4.2%	-0.1%	0.0%	0.1%
Firstsource	265	259	230	2.3%	15.2%	2.2%	2.0%	-0.2%
Birlasoft	151	151	163	0.0%	-7.7%	-0.5%	0.0%	0.5%
LTTS	337	335	307	0.5%	9.9%	1.5%	1.3%	-0.2%
Cyient (DET)	164	163	173	1.0%	-5.0%	0.3%	0.5%	0.3%
KPIT Technologies	181	178	173	1.7%	4.6%	0.1%	0.3%	0.2%
Tata Elxsi	104	104	114	-0.2%	-8.6%	0.6%	1.0%	0.4%

Source: Company, Nuvama Research

Exhibit 2: Margins better than expected driven by FX

Company	EBIT Margins			Reported		EBIT Margins		
	Q2FY26	Q1FY26	Q2FY25	% QoQ	% YoY	Expectations	Actual	Difference (Miss/ Beat)
TCS	25.2%	24.5%	24.1%	70bps	110bps	24.7%	25.2%	0.5%
Infosys	21.0%	20.8%	21.1%	20bps	-10bps	21.0%	21.0%	0.0%
HCL Tech	17.4%	16.3%	18.6%	110bps	-120bps	17.0%	17.4%	0.4%
Wipro (Consol)	16.7%	17.3%	16.8%	-60bps	-10bps	16.9%	16.7%	-0.2%
Tech Mahindra	12.1%	11.1%	9.6%	110bps	250bps	11.8%	12.1%	0.4%
LTIMindtree	15.9%	14.3%	15.5%	160bps	40bps	14.9%	15.9%	1.0%
Coforge	14.0%	13.1%	11.7%	80bps	220bps	13.6%	14.0%	0.4%
Persistent	16.3%	15.5%	14.0%	80bps	230bps	15.6%	16.3%	0.7%
Mphasis	15.3%	15.3%	15.4%	0bps	-10bps	15.0%	15.3%	0.3%
Hexaware	14.7%	14.6%	13.3%	10bps	140bps	15.1%	14.7%	-0.4%
Zensar	13.7%	13.5%	13.1%	20bps	60bps	13.5%	13.7%	0.2%
Firstsource	11.5%	11.3%	10.8%	30bps	70bps	11.5%	11.5%	0.1%
Birlasoft	14.5%	10.7%	10.5%	380bps	410bps	10.5%	14.5%	4.0%
LTTS	13.4%	13.3%	15.1%	10bps	-170bps	13.4%	13.4%	0.0%
Cyient (DET)	12.2%	12.0%	14.2%	20bps	-200bps	12.0%	12.2%	0.1%
KPIT Technologies	16.4%	17.0%	17.0%	-60bps	-60bps	16.8%	16.4%	-0.4%
Tata Elxsi	18.5%	18.2%	25.1%	30bps	-650bps	19.0%	18.5%	-0.4%

Source: Company, Nuvama Research

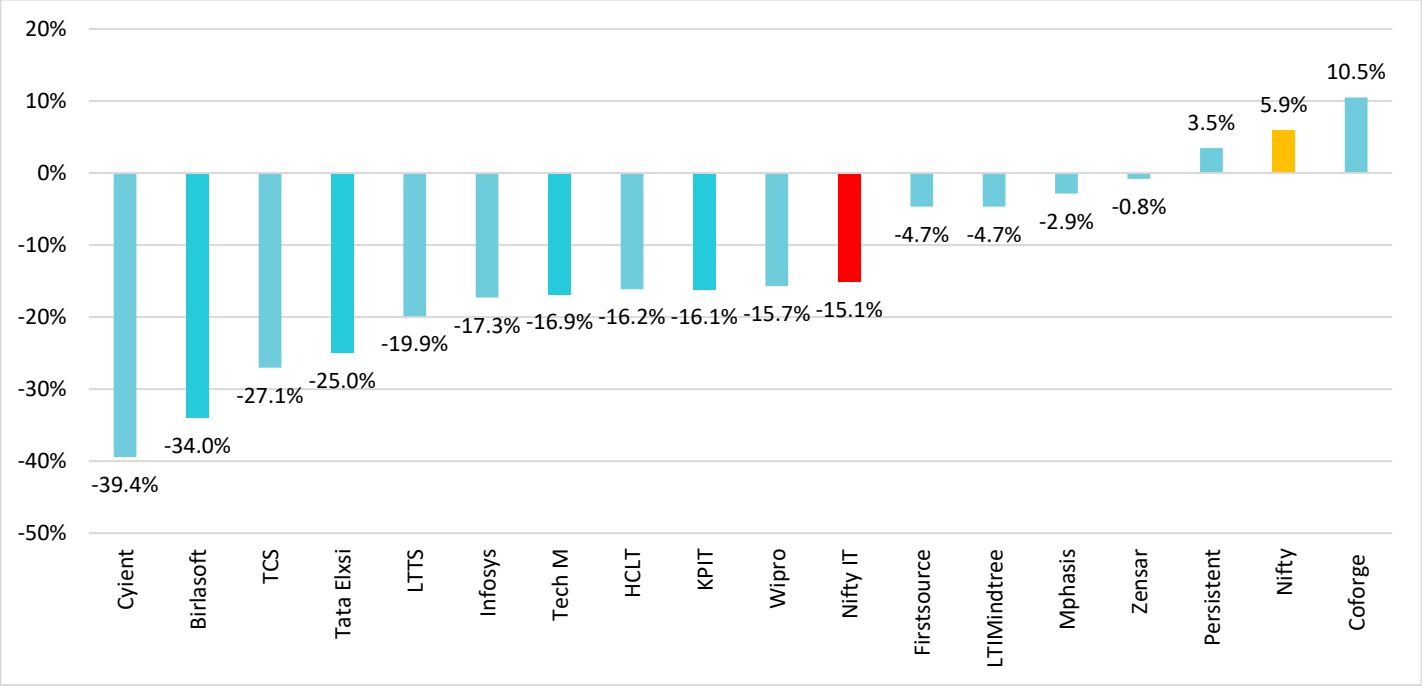
Stock performance

Exhibit 3: Stock price returns

Stock Returns	Last 1 month	Last 3 months	Last 6 months	Last 12 months	CY24	FY25
Nifty	**1.1%**	**5.0%**	**6.5%**	**5.9%**	**8.8%**	**5.3%**
Nifty IT	**0.2%**	**3.7%**	**-0.5%**	**-15.1%**	**22.0%**	**5.7%**
TCS	-0.1%	-0.4%	-12.1%	-27.1%	6.0%	-7.0%
Infosys	-0.1%	6.4%	0.4%	-17.3%	21.8%	4.8%
HCLT	3.0%	4.4%	-1.8%	-16.2%	29.5%	3.2%
Wipro	-3.6%	0.3%	-0.9%	-15.7%	25.6%	9.2%
Tech M	-4.1%	-5.6%	-6.4%	-16.9%	34.1%	13.6%
LTIMindtree	3.3%	12.7%	22.3%	-4.7%	-11.3%	-9.1%
Coforge	2.0%	9.4%	14.4%	10.5%	54.0%	47.4%
Persistent	9.5%	14.9%	7.7%	3.5%	74.8%	38.4%
Mphasis	-0.3%	3.0%	16.3%	-2.9%	3.9%	4.7%
Hexaware	-6.0%	-6.4%	-3.8%	NA	NA	NA
Birlasoft	4.2%	0.6%	-2.6%	-34.0%	-22.3%	-17.9%
Zensar	-9.5%	-8.0%	2.7%	-0.8%	22.8%	-36.6%
Firstsource	5.0%	-4.8%	7.9%	-4.7%	103.4%	-9.1%
LTTS	-5.3%	-2.3%	-0.6%	-19.9%	-9.8%	-17.9%
Cyient	-2.9%	-2.0%	-3.1%	-39.4%	-19.9%	-36.6%
KPIT	3.4%	0.2%	-4.1%	-16.1%	-1.3%	-11.8%
Tata Elxsi	-3.7%	-9.6%	-9.3%	-25.0%	-21.5%	-32.4%

Source: Company, Nuvama Research

Exhibit 4: Nifty IT has underperformed Nifty over last 12 months



Source: Company, Nuvama Research

Revenue and margin trends

Exhibit 5: Revenue growth (CC QoQ) trend

Revenue Growth (CC QoQ)	1QFY24	2QFY24	3QFY24	4QFY24	1QFY25	2QFY25	3QFY25	4QFY25	1QFY26	2QFY26
TCS	0.0%	0.1%	1.1%	1.1%	2.2%	1.1%	0.0%	-0.8%	-3.3%	0.8%
Infosys	1.0%	2.3%	-1.0%	-2.2%	3.6%	3.1%	1.7%	-3.5%	2.6%	2.2%
HCL Tech	-1.3%	1.0%	6.0%	0.3%	-1.6%	1.6%	3.8%	-0.8%	-0.8%	2.4%
Wipro	-2.8%	-2.0%	-1.7%	-0.3%	-1.0%	0.6%	0.1%	-0.8%	-2.0%	0.3%
Tech M	-4.2%	-2.4%	1.1%	-0.8%	0.7%	0.7%	1.2%	-1.5%	-1.4%	1.6%
LTIMindtree	0.1%	1.7%	0.7%	-1.3%	2.6%	2.3%	1.8%	-0.6%	0.8%	2.4%
Coforge	2.7%	2.3%	1.8%	1.9%	1.6%	26.3%	8.4%	3.4%	8.0%	5.9%
Persistent	2.9%	3.2%	3.1%	3.4%	5.6%	5.1%	4.6%	4.5%	3.3%	4.4%
Mphasis	-3.5%	0.0%	1.0%	2.1%	-0.1%	2.4%	0.2%	2.9%	1.0%	2.0%
Hexaware							0.2%	-0.2%	1.3%	3.4%
Birlasoft	2.7%	3.1%	1.8%	1.6%	-2.7%	2.2%	-1.1%	-5.3%	-1.8%	0.0%
Zensar	1.3%	0.2%	-3.2%	2.0%	4.3%	0.3%	0.7%	0.9%	1.9%	0.0%
Firstsource	-3.0%	-0.1%	3.4%	4.2%	6.5%	6.9%	7.6%	2.1%	1.6%	2.0%
LTTS	-2.9%	3.2%	0.9%	5.1%	-3.3%	3.4%	3.1%	10.5%	-4.2%	1.3%
Cyient	0.3%	1.0%	1.1%	-0.5%	-5.0%	1.3%	2.4%	-1.9%	-1.5%	0.5%
KPIT Technologies	7.1%	9.0%	4.3%	5.1%	4.7%	4.7%	2.0%	3.0%	-3.2%	0.3%
Tata Elxsi	1.2%	3.4%	3.0%	-0.6%	2.4%	0.2%	0.0%	-5.3%	-3.9%	1.0%

Source: Company, Nuvama Research

Exhibit 6: EBIT margin trend

EBIT Margins	1QFY24	2QFY24	3QFY24	4QFY24	1QFY25	2QFY25	3QFY25	4QFY25	1QFY26	2QFY26
TCS	23.2%	24.3%	25.0%	26.0%	24.7%	24.1%	24.5%	24.2%	24.5%	25.2%
Infosys	20.8%	21.2%	20.5%	20.1%	21.1%	21.1%	21.3%	21.0%	20.8%	21.0%
HCL Tech	17.0%	18.5%	19.7%	17.6%	17.1%	18.6%	19.5%	18.0%	16.3%	17.4%
Wipro - IT Services	16.0%	16.1%	16.0%	16.4%	16.5%	16.8%	17.5%	17.5%	17.3%	16.7%
Tech Mahindra	6.8%	4.7%	5.4%	7.4%	8.5%	9.6%	10.2%	10.5%	11.1%	12.1%
LTIMindtree	16.7%	16.0%	15.4%	14.7%	15.0%	15.5%	13.8%	13.8%	14.3%	15.9%
Coforge	11.5%	11.9%	13.8%	14.4%	13.6%	11.7%	11.8%	13.2%	13.1%	14.0%
Persistent	14.9%	13.7%	14.5%	14.5%	14.0%	14.0%	14.9%	15.6%	15.5%	16.3%
Mphasis	15.4%	15.5%	14.9%	14.9%	15.0%	15.4%	15.3%	15.3%	15.3%	15.3%
Hexaware	-	-	9.1%	13.0%	12.3%	13.3%	13.8%^	14.8%^	14.6%^	14.7%
Birlasoft	13.6%	14.2%	14.4%	14.7%	13.1%	10.5%	10.4%	11.5%	10.7%	14.5%
Zensar	15.3%	15.7%	14.6%	14.6%	13.3%	13.1%	13.8%	13.9%	13.5%	13.7%
Firstsource	11.7%	10.6%	10.7%	11.0%	11.0%	10.8%	11.1%	11.2%	11.3%	11.5%
LTTS	17.2%	17.1%	17.2%	16.9%	15.6%	15.1%	15.9%	13.2%	13.3%	13.4%
Cyient	14.7%	14.6%	14.3%	14.4%	11.9%	12.5%	11.4%	12.3%	9.5%	9.4%
KPIT Technologies	15.4%	16.0%	16.6%	16.7%	17.3%	17.0%	17.2%	17.3%	17.0%	16.4%
Tata Elxsi	27.1%	27.1%	26.8%	25.8%	24.3%	25.1%	23.5%	20.1%	18.2%	18.5%

Source: Company, Nuvama Research (^Adjusted EBIT margins)

Deal-wins

Large-cap and mid-cap IT companies maintained their strong deal momentum in Q2FY26. Small-caps are finding it difficult to win deals, as discretionary spends continue to be put on hold. Organisations are rapidly embedding AI into their operations across the sector with the technology emerging as a central theme in client discussions. Companies are increasingly leveraging newly developed or enhanced AI-driven solutions to strengthen their offerings and secure new deals.

Exhibit 7: Deal-wins (USD mn)

TCV (USD, mn)	Q1FY24	Q2FY24	Q3FY24	Q4FY24	Q1FY25	Q2FY25	Q3FY25	Q4FY25	Q1FY26	Q2FY26
TCS	10,200	11,200	8,100	13,200	8,300	8,600	10,200	12,200	9,400	10,000
Infosys	2,285	7,684	3,241	4,454	4,085	2,430	2,495	2,637	3,797	3,063
HCL Tech	1,565	3,969	1,927	2,290	1,960	2,218	2,095	2,995	1,812	2,569
Wipro	1,198	1,275	909	1,191	1,154	1,489	961	1,763	2,666	2,853
TechM	359	640	381	500	534	603	745	798	809	816
LTIMindtree	1,410	1,300	1,500	1,430	1,400	1,300	1,680	1,600	1,630	1,590
Coforge	531	313	354	774	314	516	501	2,126	507	514
Persistent	380	479	521	448	463	529	594	518	521	609
Mphasis	707	255	241	177	319	207	351	390	760	528
Zensar	154	195	168	182	154	202	205	214	172	159
Birlasoft	146	271	218	240	160	136	226	236	141	107
Cyient	193	184	297	228	183	157	312	184	NA	NA
KPIT Technologies	190	156	189	261	202	207	236	280	241	232

Source: Company, Nuvama Research

Exhibit 8: TCV growth (YoY)

TCV (YoY, %)	Q1FY24	Q2FY24	Q3FY24	Q4FY24	Q1FY25	Q2FY25	Q3FY25	Q4FY25	Q1FY26	Q2FY26
TCS	24%	38%	4%	32%	-19%	-23%	26%	-8%	13%	16%
Infosys	34%	185%	-2%	112%	79%	-68%	-23%	-41%	-7%	26%
HCL Tech	-24%	66%	-18%	10%	25%	-44%	9%	31%	-8%	16%
Wipro	7%	79%	-7%	10%	-4%	17%	6%	48%	131%	92%
TechM	-55%	-11%	-52%	-16%	49%	-6%	96%	60%	51%	35%
LTIMindtree			20%	6%	-1%	0%	12%	12%	16%	22%
Coforge	69%	3%	3%	157%	-41%	65%	42%	175%	61%	0%
Persistent	-3%	30%	18%	6%	22%	10%	14%	16%	13%	15%
Mphasis	134%	-16%	-40%	-43%	-55%	-19%	46%	120%	138%	155%
Zensar	23%	38%	28%	4%	0%	4%	23%	18%	12%	-21%
Birlasoft	-21%	63%	-6%	-16%	10%	-50%	4%	-2%	-12%	-21%
Cyient	37%	43%	25%	7%	-5%	-15%	5%	-19%	NA	NA
KPIT Technologies	23%	10%	-31%	-38%	6%	33%	25%	7%	19%	12%

Source: Company, Nuvama Research

FY26 guidance

Exhibit 9: FY26 top-line and EBIT margin guidance across our coverage companies

Company	FY25 CC Revenue growth	FY26 new growth guidance	FY26 earlier growth guidance	FY25 EBIT margin	FY26 EBIT margin guidance
TCS	4.2%	- Same as before -	Growth in developed markets to be higher than FY25	24.3%	Aspiration band of 24-26%
Infosys	4.2%	2% to 3% (incl inorganic)	1% to 3% (incl inorganic)	21.1%	20% to 22%
Wipro*	-2.3%	-0.5% to +1.5% (Q3 guidance)	-1% to +1% (Q2 guidance)	17.1%	Around 17.5%
HCL Tech	4.7%	- Consol same as before - 4% to 5% (Services guidance)	3% to 5% (Consol guidance) 3% to 5% (Services guidance)	18.3%	17% to 18%
Tech M	0.3%	- Same as before -	Higher than industry avg by FY27	9.7%	15% by FY27
LTIM	5.0%	Touch double digit YoY in Q4FY26	-	14.5%	-
Coforge	32.0%	- Same as before -	USD2bn by FY27	13.0%	14% by FY26
Persistent	19.0%	- Same as before -	USD2bn by FY27	14.7%	200-300bps expansion over next 2-3 years
Mphasis	4.6%	- Same as before -	2x industry growth in FY26	15.3%	14.75% to 15.75%
Hexaware	13.5%	-	-	14.9%^	
Birlasoft	-0.1%	-	-	11.2%	-
Zensar	5.1%	- Same as before -	Aspiring for higher growth in FY26, than FY25	13.5%	-
Firstsource	22.6%	- Same as before -	13% to 15%	11.0%	11.25% to 12%
LTTS	8.9%	- Same as before -	Double digit growth	14.9%	Mid-16% levels by Q4FY27E/ Q1FY28E
Cyient	1.5%	-	-	12.0%	-

Source: Company, Nuvama Research (Wipro revenue guidance for Q3FY26) (^ Adjusted EBIT margins)*

Exhibit 10: Infosys ten-year guidance trend

Year	End	Initial	After Q1	After Q2	After Q3	Actual
FY16	High	12.0%	12.0%	12.0%	13.2%	**13.3%**
	Low	10.0%	10.0%	10.0%	12.8%	
FY17	High	13.5%	12.0%	9.0%	8.8%	**8.3%**
	Low	11.5%	10.5%	8.0%	8.4%	
FY18	High	8.5%	8.5%	6.5%	6.5%	**5.8%**
	Low	6.5%	6.5%	5.5%	5.5%	
FY19	High	8.0%	8.0%	8.0%	9.0%	**9.0%**
	Low	6.0%	6.0%	6.0%	8.5%	
FY20	High	9.5%	10.0%	10.0%	10.5%	**9.8%**
	Low	7.5%	8.5%	9.0%	10.0%	
FY21	High		2.0%	3.0%	5.0%	**5.0%**
	Low		0.0%	2.0%	4.5%	
FY22	High	14.0%	16.0%	17.5%	20.0%	**19.7%**
	Low	12.0%	14.0%	16.5%	19.5%	
FY23	High	15.0%	16.0%	16.0%	16.5%	**15.4%**
	Low	13.0%	14.0%	15.0%	16.0%	
FY24	High	7.0%	3.5%	2.5%	2.0%	**1.4%**
	Low	4.0%	1.0%	1.0%	1.5%	
FY25	High	3.0%	4.0%	4.5%	5.0%	**4.2%**
	Low	1.0%	3.0%	3.75%	4.5%	
FY26	High	3.0%	3.0%	3.0%		
	Low	0.0%	1.0%	2.0%		

Source: Company, Nuvama Research

Highlight of the quarter – Strong TCV

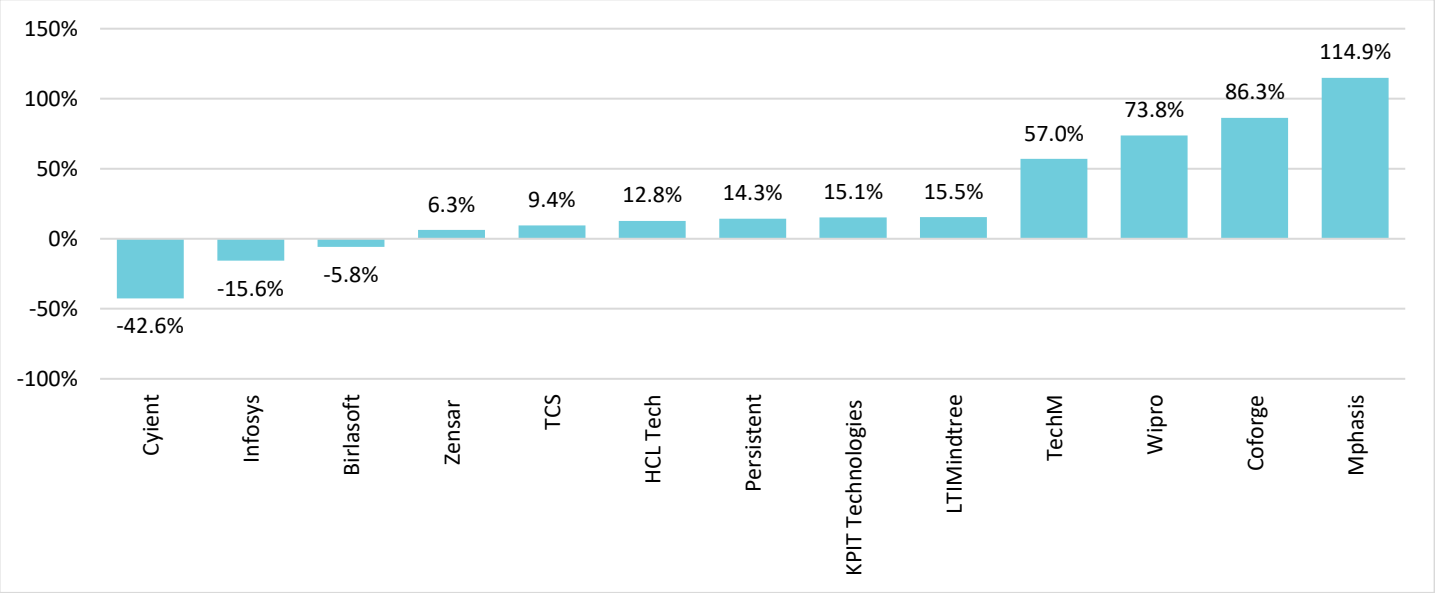
Nearly all companies—except small caps—reported double-digit YoY TCV growth in Q2FY26. The robust deal momentum has been consistent over the past few quarters despite tariff uncertainties and ongoing geopolitical issues. This is also reflected in strong YoY TCV growth on a trailing 12-month basis (exhibit 12). Moreover, companies are increasingly leveraging newly developed or enhanced AI-driven solutions to strengthen their service offerings and secure new deals.

Exhibit 11: TCV (YoY) growth – Highest YoY growth in last five quarters (aggregate of 11 companies' ex-small caps)

TCV (YoY, %)	Q1FY24	Q2FY24	Q3FY24	Q4FY24	Q1FY25	Q2FY25	Q3FY25	Q4FY25	Q1FY26	Q2FY26
TCS	24%	38%	4%	32%	-19%	-23%	26%	-8%	13%	16%
Infosys	34%	185%	-2%	112%	79%	-68%	-23%	-41%	-7%	26%
Wipro	7%	79%	-7%	10%	-4%	17%	6%	48%	131%	92%
HCL Tech	-24%	66%	-18%	10%	25%	-44%	9%	31%	-8%	16%
TechM	-55%	-11%	-52%	-16%	49%	-6%	96%	60%	51%	35%
LTIMindtree			20%	6%	-1%	0%	12%	12%	16%	22%
Coforge	69%	3%	3%	157%	-41%	65%	42%	175%	61%	0%
Persistent	-3%	30%	18%	6%	22%	10%	14%	16%	13%	15%
Mphasis	134%	-16%	-40%	-43%	-55%	-19%	46%	120%	138%	155%
Zensar	23%	38%	28%	4%	0%	4%	23%	18%	12%	-21%
Birlasoft	-21%	63%	-6%	-16%	10%	-50%	4%	-2%	-12%	-21%
Cyient	37%	43%	25%	7%	-5%	-15%	5%	-19%	NA	NA
KPIT Technologies	23%	10%	-31%	-38%	6%	33%	25%	7%	19%	12%
Total (excluding Small caps)	**25%**	**73%**	**-3%**	**32%**	**-1%**	**-34%**	**14%**	**2%**	**17%**	**25%**

Source: Company, Nuvama Research

Exhibit 12: Deal-wins YoY growth (trailing 12 months)



Source: Company, Nuvama Research

ISG deal flow trend

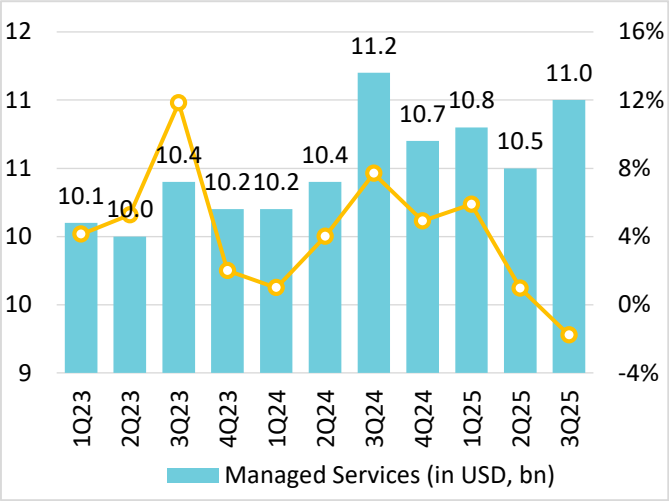
As per ISG, tech outlook remains uncertain amid mixed US economic signals, geopolitical risks, though AI continues to drive a new tech cycle. Higher H-1B costs and tighter rules are likely to shift hiring patterns toward senior roles and automation, resulting in a rebalance in onshore-offshore talent. ISG retained its Managed services guidance at 1.3%, and raised As-a-service guidance by 200bp to 25%.

Exhibit 13: Quarterly ACV trend

ACV (USD bn)	1Q23	2Q23	3Q23	4Q23	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	% YoY	% QoQ
Global combined market ACV	23.8	23.2	23.2	23.5	25.4	25.9	27.7	28.3	30.4	30.0	32.6	17.7%	8.7%
Outsourcing	10.1	10.0	10.4	10.2	10.2	10.4	11.2	10.7	10.8	10.5	11.0	-1.8%	4.8%
As-a-Service	13.7	13.2	12.8	13.3	15.2	15.5	16.5	17.6	19.6	19.5	21.6	30.9%	10.8%
Americas	12.5	11.1	12.3	11.9	12.2	12.4	13.4	14.5	14.6	15.8	17.3	29.1%	9.5%
EMEA	7.3	7.6	6.8	7.1	7.4	7.9	9.3	8.4	9.2	9.0	9.7	4.3%	7.8%
Asia Pacific	4.1	4.7	4.2	4.5	4.8	4.7	5.2	5.4	5.4	5.2	5.7	9.6%	9.6%

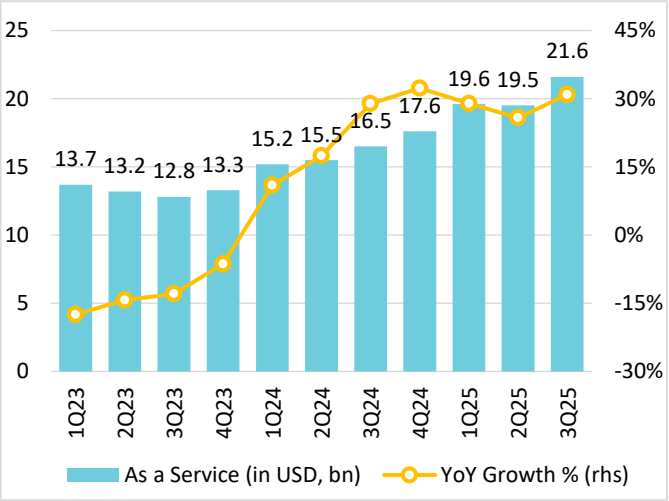
Source: ISG, Nuvama Research

Exhibit 14: Managed Services contract (USD bn)



Source: ISG, Nuvama Research

Exhibit 15: As-a-Service contracts (USD bn)



Source: ISG, Nuvama Research

Exhibit 16: Vertical ACV change (% YoY)

2025 YTD Trends	Business Services	Consumer Packaged Goods & Retail	Energy	Financial Services	Healthcare & Pharma	Manufacturing	Telecom & Media	Travel, Transport Leisure
Combined Market	12%	12%	8%	20%	9%	15%	10%	8%
Managed Services	-15%	-17%	23%	5%	13%	9%	-16%	-9%
As-a-Service	36%	32%	23%	27%	29%	22%	29%	30%

Source: ISG, Nuvama Research

Global counterparts

Global IT services companies reported better than expectations results this quarter, with most companies raising their guidance. The overall demand environment remains stable with no significant changes. They are now prioritising strategic investments in next-gen technologies, particularly AI, to strengthen competitive positions. The focus has shifted towards translating AI capabilities into tangible deal conversions, which are expected to drive revenue growth over coming quarters.

Exhibit 17: USD revenue (reported versus expectations)

Company	USD rev			Reported		Expectations	
	Q3CY25	Q2CY25	Q3CY24	% QoQ	% YoY	% QoQ	% YoY
Accenture^	17,596	17,728	16,406	-0.7%	7.3%	-2.1%	5.8%
Cognizant	5,415	5,245	5,044	3.2%	7.4%	1.4%	5.5%
Capgemini*	5,393	5,554	5,377	-2.9%	0.3%	-4.3%	-1.2%
EPAM	1,394	1,353	1,168	3.0%	19.4%	5.6%	19.9%

Source: Company, Nuvama Research (EUR, mn). ^ August ending year.*

Exhibit 18: EBIT margins (reported versus expectations)

Company	EBIT Margins			Reported		Expectations	
	Q3CY25	Q2CY25	Q3CY24	% QoQ	% YoY	% QoQ	% YoY
Accenture	15.1%	16.8%	14.3%	-170bps	80bps	-156bps	92bps
Cognizant	16.0%	15.6%	15.3%	40bps	70bps	-7bps	22bps
Capgemini	NA	NA	NA	NA	NA	NA	NA
EPAM	10.4%	9.3%	15.2%	110bps	-480bps	660bps	79bps

Source: Company, Nuvama Research

Exhibit 19: TCV (USD mn)

Company	TCV			Growth	
	Q3CY25	Q2CY25	Q3CY24	% QoQ	% YoY
Accenture	21,300	19,700	20,100	8.1%	6.0%
Cognizant	27,500	27,800	26,200	-1.1%	5.0%
Capgemini*	5,161	6,109	5,222	-15.5%	-1.2%
EPAM	NA	NA	NA	NA	NA

Source: Company, Nuvama Research (EUR, mn)*

Exhibit 20: FY/CY25 guidance revision

Company	FY/CY25 revenue guidance	
	Last quarter	This quarter
Accenture	NA	+2-5% (including ~1.5% inorganic & 1-1.5% US Federal headwind)*
Cognizant	+4% to +6% (~2.5% inorganic)	+6% to +6.3% (~2.5% inorganic)
Capgemini	-1% to 1% (CC terms)	+2% to +2.5% (CC terms)
EPAM	13% to 15% (including 10% inorganic)	14.8% to 15.2% (including ~9.1% inorganic)

*Source: Company, Nuvama Research (*FY26 guidance)*

Global partners' trend

Exhibit 21: AWS revenue growth trajectory

Category Wise	Q422	Q123	Q223	Q323	Q423	Q124	Q224	Q324	Q424	Q125	Q225	Q325
AWS	21,378	21,354	22,140	23,059	24,204	25,037	26,281	27,452	28,786	29,267	30,873	33,006
QoQ growth	4.1%	-0.1%	3.7%	4.2%	5.0%	3.4%	5.0%	4.5%	4.9%	1.7%	5.5%	6.9%
YoY growth	20.2%	15.8%	12.2%	12.3%	13.2%	17.2%	18.7%	19.1%	18.9%	16.9%	17.5%	20.2%

Source: Company, Nuvama Research

Exhibit 22: Microsoft Azure revenue trend

Azure revenue trend	Q122	Q222	Q322	Q422	Q123	Q223	Q323	Q423	Q124	Q224	Q324	Q424	Q125	Q225	Q325	Q425	Q126
Azure growth (CC, YoY)	48%	46%	49%	46%	42%	38%	31%	27%	28%	28%	31%	35%	34%	31%	35%	39%	39%

Source: Company, Nuvama Research

Exhibit 23: Google Cloud revenue growth profile

USD mn	Q123	Q223	Q323	Q423	Q124	Q224	Q324	Q424	Q125	Q225	Q325
Google Cloud	7,454	8,031	8,411	9,192	9,574	10,347	11,353	11,955	12,260	13,624	15,157
QoQ growth	1.9%	7.7%	4.7%	9.3%	4.2%	8.1%	9.7%	5.3%	2.6%	11.1%	11.3%
YoY growth	28.1%	28.0%	22.5%	25.7%	28.4%	28.8%	35.0%	30.1%	28.1%	31.7%	33.5%

Source: Company, Nuvama Research

Exhibit 24: Salesforce revenue growth profile

Salesforce	Q1FY23	Q2FY23	Q3FY23	Q4FY23	Q1FY24	Q2FY24	Q3FY24	Q4FY24	Q1FY25	Q2FY25	Q3FY25	Q4FY25	Q1FY26	Q2FY26
Revenue (USD, mn)	7,411	7,720	7,837	8,384	8,247	8,603	8,720	9,287	9,133	9,325	9,444	9,993	9,829	10,236
% QoQ	1%	4%	2%	7%	-2%	4%	1%	7%	-2%	2%	1%	6%	-2%	4%
% YoY	24%	22%	14%	14%	11%	11%	11%	11%	11%	8%	8%	8%	8%	10%
% CC YoY	26%	26%	19%	17%	13%	11%	10%	10%	11%	9%	8%	9%	8%	9%

Source: Company, Nuvama Research

Exhibit 25: Oracle revenue growth profile

Oracle	Q1FY23	Q2FY23	Q3FY23	Q4FY23	Q1FY24	Q2FY24	Q3FY24	Q4FY24	Q1FY25	Q2FY25	Q3FY25	Q4FY25	Q1FY26
Revenue (USD, mn)	11,445	12,275	12,398	13,837	12,453	12,941	13,280	14,287	13,307	14,059	14,130	15,903	14,926
% YoY	17.7%	18.5%	17.9%	16.9%	8.8%	5.4%	7.1%	3.3%	6.9%	8.6%	6.4%	11.3%	12.2%
Cloud revenue	9,321	10,033	10,211	11,522	10,356	10,817	11,219	12,072	11,389	12,001	12,136	13,705	12,907
% YoY	13.9%	14.1%	14.4%	13.5%	11.1%	7.8%	9.9%	4.8%	10.0%	10.9%	8.2%	13.5%	13.3%

Source: Company, Nuvama Research

Exhibit 26: SAP revenue growth profile

SAP	Q1FY23	Q2FY23	Q3FY23	Q4FY23	Q1FY24	Q2FY24	Q3FY24	Q4FY24	Q1FY25	Q2FY25	Q3FY25
Revenue (EUR, mn)	7,442	7,555	7,744	8,467	8,041	8,288	8,470	9,377	9,012	9,027	9,076
% YoY	9.9%	4.8%	2.3%	5.0%	8.0%	9.7%	9.4%	10.7%	12.1%	8.9%	7.2%
Cloud revenue	3,178	3,316	3,472	3,699	3,928	4,153	4,351	4,708	4,993	5,130	5,290
% YoY	23.9%	18.6%	12.8%	20.2%	23.6%	25.2%	25.3%	27.3%	27.1%	23.5%	21.6%

Source: Company, Nuvama Research

Operating metrics trend

Exhibit 27: Net headcount addition across most companies, with a few exceptions

Net employee addition	Q1FY24	Q2FY24	Q3FY24	Q4FY24	Q1FY25	Q2FY25	Q3FY25	Q4FY25	Q1FY26	Q2FY26
TCS	523	-6,333	-5,680	-1,759	5,452	5,726	-5,370	625	5,090	-19,755
Infosys	-6,940	-7,530	-6,101	-5,423	-1,908	2,456	5,591	199	210	8,203
Wipro	-7,185	-5,133	-5,525	-7,157	266	877	-1,170	574	-164	2,126
HCLT	-2,506	-2,299	3,617	2,725	-8,080	-780	2,134	2,665	-269	3,489
TechM	-4,103	2,307	-4,354	-795	2,165	6,653	-3,785	-1,757	-214	4,197
LTIM	-1,808	794	-1,061	-821	284	2,504	2,362	-2,493	-418	2,558
Coforge	1,000	414	-31	119	1,886	5,871	611	403	690	709
Persistent	241	-288	494	514	-331	-282	705	652	746	884
Mphasis	-81	-190	221	-1,328	-1,019	-44	-407	248	-379	-254
Hexaware	-	-	28,292	1,843	1,735	666	-227	-745	846	1,180
LTTS	1,159	488	-582	514	-235	121	-233	793	-632	52
Cyient	-558	132	240	-217	-378	-284	-421	-227	-528	11
Zensar	-23	-210	-105	124	47	-156	277	185	-82	-70
Firstsource	-634	1,569	1,994	1,993	1,291	3,667	1,246	507	-156	1,502
Birlasoft	42	87	34	239	270	-287	-453	-195	-96	58

Source: Company, Nuvama Research

Exhibit 28: Attrition rate largely stable

Attrition	Q1FY24	Q2FY24	Q3FY24	Q4FY24	Q1FY25	Q2FY25	Q3FY25	Q4FY25	Q1FY26	Q2FY26
TCS	17.8%	14.9%	13.3%	12.5%	12.1%	12.3%	13.0%	13.3%	13.8%	13.3%
Infosys	17.3%	14.6%	12.9%	12.6%	12.7%	12.9%	13.7%	14.1%	14.4%	14.3%
Wipro	17.3%	15.5%	14.2%	14.2%	14.1%	14.5%	15.3%	15.0%	15.1%	14.9%
HCLT	16.3%	14.2%	12.8%	12.4%	12.8%	12.9%	13.2%	13.0%	12.8%	12.6%
TechM	13.0%	11.0%	10.3%	10.0%	10.1%	10.6%	11.2%	11.8%	12.6%	12.8%
LTIM	17.8%	15.2%	14.2%	14.4%	14.4%	14.5%	14.3%	14.4%	14.4%	14.2%
Coforge	13.3%	13.0%	12.1%	11.5%	11.4%	11.7%	11.9%	10.9%	11.3%	11.4%
Persistent	15.5%	13.5%	11.9%	11.5%	11.9%	12.0%	12.6%	12.9%	13.9%	13.8%
LTTS	18.9%	16.7%	15.8%	14.8%	14.8%	14.3%	14.4%	14.3%	14.8%	14.8%
Cyient	23.0%	20.4%	18.4%	17.1%	16.0%	15.0%	15.5%	16.5%	16.9%	16.8%
Zensar	15.9%	13.1%	12.0%	10.9%	10.6%	10.1%	10.0%	9.9%	9.8%	9.8%
Firstsource (TTM)	41.7%	39.8%	37.7%	35.4%	32.0%	30.6%	31.4%	29.8%	28.9%	28.0%
Birlasoft	18.8%	15.0%	12.6%	12.4%	11.6%	11.8%	12.7%	12.8%	13.3%	13.3%

Source: Company, Nuvama Research

Exhibit 29: Utilisation trends remain stable across most IT companies

Utilization	Q1FY24	Q2FY24	Q3FY24	Q4FY24	Q1FY25	Q2FY25	Q3FY25	Q4FY25	Q1FY26	Q2FY26
Infosys	81.1%	81.8%	82.7%	83.5%	85.3%	85.9%	86.0%	84.9%	85.2%	85.1%
Wipro	83.7%	84.5%	84.0%	86.9%	87.7%	86.4%	83.5%	84.6%	85.0%	86.4%
TechM	87.0%	86.0%	87.6%	86.4%	86.1%	86.1%	86.0%	86.3%	85.1%	84.4%
LTIM	84.8%	86.6%	87.4%	86.9%	88.3%	87.7%	85.4%	85.8%	88.1%	88.1%
Coforge	81.0%	80.0%	79.4%	81.7%	81.6%	82.2%	81.3%	82.0%	82.1%	82.3%
Persistent	78.3%	80.6%	81.5%	80.0%	82.1%	84.8%	87.4%	88.1%	88.7%	88.2%
Mphasis	80.0%	77.0%	74.0%	75.0%	76.0%	76.0%	75.0%	78.0%	84.0%	87.0%
Zensar	82.5%	83.1%	80.7%	83.7%	83.9%	82.8%	82.9%	84.6%	84.3%	84.8%
Birlasoft	84.9%	86.5%	87.1%	86.3%	81.7%	82.0%	81.8%	81.0%	81.2%	80.6%

Source: Company, Nuvama Research

Client bucket trends

Exhibit 30: Top-5 clients (% of revenue)

Top-5 rev share	Q1FY24	Q2FY24	Q3FY24	Q4FY24	Q1FY25	Q2FY25	Q3FY25	Q4FY25	Q1FY26	Q2FY26
Infosys	13.4%	13.3%	13.4%	13.6%	13.5%	13.7%	12.7%	13.1%	13.2%	13.0%
Wipro	12.5%	12.3%	12.1%	13.4%	13.6%	14.0%	14.3%	14.5%	14.7%	14.4%
HCLT	9.8%	9.8%	9.8%	10.4%	11.4%	12.1%	12.6%	12.7%	12.6%	12.4%
TechM	17.0%	17.0%	16.1%	15.8%	15.5%	15.1%	14.8%	15.5%	15.6%	15.6%
LTIM	26.7%	26.8%	27.5%	28.3%	28.8%	28.4%	27.9%	27.7%	27.3%	25.3%
Coforge	25.1%	23.5%	22.7%	23.0%	21.0%	18.7%	19.8%	18.0%	20.7%	21.0%
Persistent	27.9%	28.3%	28.0%	29.2%	30.7%	31.4%	30.8%	32.7%	31.8%	32.9%
Mphasis	43.0%	47.0%	46.0%	44.0%	44.0%	43.0%	43.0%	42.0%	40.0%	39.0%
LTTS	14.7%	14.9%	15.7%	15.4%	15.0%	15.0%	15.2%	15.1%	15.1%	15.1%
Cyient	29.6%	29.5%	29.8%	31.0%	31.7%	31.4%	30.1%	28.7%	30.6%	31.9%
Zensar	34.0%	31.5%	29.2%	28.3%	28.3%	28.1%	27.5%	27.6%	27.2%	27.0%
Firstsource	37.2%	35.0%	35.8%	36.7%	34.6%	32.5%	29.2%	29.3%	29.6%	28.9%
Birlasoft	33.3%	33.6%	34.5%	35.4%	36.2%	36.7%	37.0%	37.1%	37.8%	39.2%

Source: Company, Nuvama Research

Exhibit 31: Top-10 clients (% of revenue)

Top-10 rev share	Q1FY24	Q2FY24	Q3FY24	Q4FY24	Q1FY25	Q2FY25	Q3FY25	Q4FY25	Q1FY26	Q2FY26
Infosys	20.4%	19.9%	20.0%	20.4%	20.9%	20.9%	19.9%	20.7%	20.8%	20.7%
Wipro	20.5%	20.6%	20.5%	22.0%	22.5%	22.9%	23.7%	24.2%	24.5%	24.0%
HCLT	17.2%	17.2%	17.7%	18.8%	19.6%	20.1%	20.3%	20.2%	20.2%	19.9%
TechM	27.0%	27.0%	26.2%	25.9%	25.1%	24.9%	24.2%	24.5%	25.2%	24.3%
LTIM	34.1%	34.3%	35.3%	35.5%	35.7%	35.0%	34.5%	34.3%	34.3%	32.8%
Coforge	37.7%	35.2%	34.3%	34.4%	32.9%	28.2%	30.0%	27.7%	29.3%	30.8%
Persistent	39.6%	39.5%	39.3%	40.0%	41.5%	41.5%	40.0%	42.2%	42.0%	43.2%
Mphasis	58.0%	58.0%	55.0%	54.0%	53.0%	53.0%	53.0%	54.0%	54.0%	55.0%
LTTS	25.9%	26.1%	26.0%	26.4%	26.3%	26.5%	26.8%	25.8%	25.1%	25.0%
Cyient	39.2%	39.2%	39.8%	41.6%	42.9%	43.0%	41.7%	41.3%	42.5%	43.5%
Zensar	45.2%	42.2%	40.6%	40.8%	42.1%	42.0%	41.0%	40.8%	41.4%	40.5%
Firstsource	52.7%	51.3%	52.0%	52.6%	51.5%	48.6%	43.5%	43.7%	42.6%	42.3%
Birlasoft	49.6%	51.0%	52.0%	52.1%	52.6%	52.5%	52.2%	52.0%	52.5%	53.3%

Source: Company, Nuvama Research

Cost breakdown trends

Exhibit 32: Employee cost (% of revenue)

Employee cost as %	Q1FY24	Q2FY24	Q3FY24	Q4FY24	Q1FY25	Q2FY25	Q3FY25	Q4FY25	Q1FY26	Q2FY26
TCS	58.9%	58.3%	57.6%	57.3%	58.6%	60.3%	59.5%	59.5%	59.2%	58.8%
Infosys	66.5%	66.3%	67.2%	67.5%	66.2%	66.6%	66.8%	66.6%	66.4%	66.6%
Wipro	69.9%	69.9%	68.4%	70.8%	69.8%	69.5%	68.8%	68.8%	70.1%	70.2%
HCLT	65.9%	65.3%	64.7%	66.5%	66.9%	66.5%	65.8%	66.8%	67.8%	67.4%
TechM	68.5%	69.1%	68.1%	69.9%	68.0%	67.8%	66.9%	65.1%	66.0%	64.8%
LTIM	68.4%	68.6%	70.1%	70.2%	69.7%	69.2%	71.2%	72.1%	70.9%	69.7%
Coforge	69.4%	67.6%	67.0%	65.9%	67.0%	67.6%	66.8%	65.9%	65.9%	66.0%
Persistent	65.8%	66.9%	66.2%	66.7%	67.0%	66.6%	65.3%	65.1%	64.7%	64.0%
Mphasis	70.9%	71.1%	68.7%	68.8%	69.2%	68.7%	68.3%	68.2%	68.1%	69.1%
LTTS	52.8%	52.0%	51.8%	48.0%	54.1%	53.8%	52.6%	52.9%	55.5%	53.7%
Cyient	63.4%	64.3%	64.6%	64.8%	64.3%	65.8%	65.6%	63.9%	64.9%	68.1%
Zensar	62.4%	62.8%	64.5%	63.4%	63.3%	64.5%	63.8%	65.1%	63.3%	65.1%
Firstsource	60.5%	61.0%	62.0%	63.2%	63.2%	62.6%	62.6%	62.3%	59.5%	58.8%
Birlasoft	58.8%	56.8%	59.1%	56.4%	57.3%	60.6%	61.1%	59.1%	60.6%	59.9%

Source: Company, Nuvama Research

Exhibit 33: SG&A cost (% of revenue)

SG&A as %	Q1FY24	Q2FY24	Q3FY24	Q4FY24	Q1FY25	Q2FY25	Q3FY25	Q4FY25	Q1FY26	Q2FY26
TCS	15.8%	15.3%	15.3%	14.7%	14.7%	13.7%	13.9%	14.1%	14.2%	13.9%
Infosys	9.6%	9.5%	9.3%	9.4%	9.8%	9.4%	8.9%	9.2%	10.1%	9.7%
Wipro	14.1%	14.0%	15.6%	12.9%	13.7%	13.7%	13.7%	13.7%	12.7%	13.1%
HCLT	13.6%	12.4%	11.5%	12.0%	12.4%	11.5%	11.3%	11.8%	12.3%	11.9%
TechM	15.5%	14.1%	15.2%	16.1%	14.5%	14.8%	15.2%	15.2%	14.2%	13.7%
LTIM	12.8%	13.1%	12.3%	12.5%	12.7%	12.8%	12.3%	11.6%	12.3%	11.7%
Coforge	15.7%	17.2%	15.8%	16.0%	15.9%	16.6%	17.6%	17.2%	16.6%	15.7%
Persistent	16.0%	16.3%	16.1%	15.7%	16.4%	16.8%	17.1%	16.8%	16.9%	16.9%
Mphasis	11.1%	10.7%	13.3%	12.5%	12.7%	12.9%	12.7%	12.9%	13.1%	12.4%
LTTS	27.5%	28.0%	28.1%	32.1%	27.4%	28.1%	28.8%	31.2%	28.3%	29.8%
Cyient	17.6%	17.2%	17.4%	17.9%	18.8%	20.1%	19.7%	21.2%	21.2%	18.5%
Firstsource	23.9%	24.1%	23.2%	21.8%	22.0%	22.2%	22.7%	22.1%	24.8%	24.8%
Birlasoft	25.9%	27.4%	25.0%	27.4%	28.0%	27.3%	26.9%	27.7%	27.0%	24.0%

Source: Company, Nuvama Research

Exhibit 34: Sub-contractor costs (% of revenue)

Sub con costs (% of revenue)	Q1FY24	Q2FY24	Q3FY24	Q4FY24	Q1FY25	Q2FY25	Q3FY25	Q4FY25	Q1FY26	Q2FY26
TCS	7.7%	7.2%	6.6%	4.9%	4.3%	4.7%	4.6%	4.8%	5.1%	5.3%
Infosys	8.2%	7.9%	7.9%	7.8%	8.1%	7.8%	7.9%	8.0%	8.3%	8.7%
Wipro	11.6%	11.9%	11.6%	11.0%	11.3%	11.1%	11.6%	11.1%	11.6%	11.7%
HCLT	13.8%	13.1%	13.1%	13.0%	12.6%	13.0%	13.0%	13.2%	13.6%	14.0%
TechM	14.0%	12.4%	11.5%	13.6%	11.6%	11.4%	11.0%	10.1%	9.8%	10.3%

Source: Company, Nuvama Research

Vertical/ geography growth trends

Coforge and Persistent posted broad-based growth across geographies and verticals. Among other companies, the BFSI vertical sustained strong momentum, with most achieving double-digit YoY growth and others posting mid-single-digit growth. The Manufacturing and Consumer verticals remain a challenge for many firms due to the maximum impact of tariff-led uncertainties. Across regions, both Europe and the US markets have remained largely stable for most companies.

Exhibit 35: BFSI vertical (YoY growth)

BFSI	Q1FY24	Q2FY24	Q3FY24	Q4FY24	Q1FY25	Q2FY25	Q3FY25	Q4FY25	Q1FY26	Q2FY26
TCS	7.9%	1.7%	-1.4%	-2.6%	-1.3%	0.5%	-0.4%	1.1%	2.4%	1.8%
Infosys	-4.6%	-6.6%	-5.0%	-8.4%	-0.1%	2.6%	5.9%	11.5%	6.3%	5.6%
HCL Tech	14.2%	14.8%	14.5%	9.1%	-2.0%	-3.3%	-2.2%	-0.8%	9.1%	13.0%
Wipro	-2.7%	-7.4%	-11.2%	-7.8%	-5.2%	1.5%	3.2%	-0.3%	-2.6%	-3.5%
Tech Mahindra	-9.0%	-10.1%	-12.3%	-8.3%	-1.3%	4.6%	8.3%	6.0%	4.7%	6.2%
LTIMindtree	12.3%	6.1%	-1.4%	-6.6%	-2.8%	2.2%	7.4%	11.8%	10.6%	6.5%
Coforge	16.2%	11.2%	14.1%	12.8%	6.2%	18.9%	20.3%	23.1%	23.3%	10.1%
Persistent	15.9%	12.4%	8.8%	7.6%	7.2%	15.5%	21.7%	27.0%	30.7%	29.9%
Mphasis	-13.5%	-16.2%	-11.9%	-6.6%	1.6%	7.9%	8.1%	10.7%	20.0%	16.8%
Hexaware	NA	NA	NA	NA	NA	NA	22.4%	15.1%	13.6%	11.9%
Firstsource	-14.2%	-6.5%	-3.9%	-2.1%	3.1%	4.3%	9.7%	11.4%	7.6%	11.2%
Zensar	6.3%	7.4%	9.5%	8.6%	13.1%	13.9%	12.7%	12.0%	9.7%	11.1%
Birlasoft	20.2%	17.5%	11.4%	13.7%	18.1%	13.9%	16.6%	5.1%	-2.1%	-1.8%

Source: Company, Nuvama Research

Exhibit 36: Manufacturing vertical (YoY growth)

Manufacturing	Q1FY24	Q2FY24	Q3FY24	Q4FY24	Q1FY25	Q2FY25	Q3FY25	Q4FY25	Q1FY26	Q2FY26
TCS	-10.6%	8.7%	7.9%	9.8%	10.1%	7.6%	1.1%	-3.2%	-2.2%	-0.4%
Infosys	21.1%	15.7%	12.1%	9.1%	6.4%	13.9%	10.2%	12.1%	14.8%	9.0%
HCL Tech	15.9%	5.2%	7.2%	15.0%	2.8%	7.7%	-0.7%	-7.4%	1.7%	0.1%
Wipro^	10.2%	-0.3%	-4.2%	-9.8%	-13.8%	-10.4%	-9.4%	-8.6%	-0.9%	0.2%
Tech Mahindra	7.3%	3.8%	8.3%	4.9%	6.4%	0.6%	-7.2%	-5.5%	-4.1%	4.9%
LTIMindtree	14.7%	16.3%	20.1%	7.5%	10.7%	5.9%	-0.1%	13.2%	11.5%	12.9%
Coforge*	-17.9%	19.2%	14.9%	-24.5%	11.5%	26.0%	43.8%	84.0%	93.0%	30.4%
Hexaware*	NA	NA	NA	NA	NA	NA	-0.9%	-4.3%	-11.1%	7.5%
Zensar*	-13.7%	1.4%	5.7%	12.5%	10.1%	5.3%	15.2%	7.6%	2.9%	0.2%
Birlasoft	1.6%	4.6%	-3.1%	14.9%	-0.2%	0.4%	-2.7%	-12.5%	-7.7%	-15.6%

Source: Company, Nuvama Research (includes retail, ^ includes E&U)*

Exhibit 37: Retail vertical (YoY growth)

Retail	Q1FY24	Q2FY24	Q3FY24	Q4FY24	Q1FY25	Q2FY25	Q3FY25	Q4FY25	Q1FY26	Q2FY26
TCS	7.9%	3.5%	1.0%	0.4%	-0.7%	1.0%	0.9%	-1.2%	0.2%	-1.4%
Infosys	3.9%	10.9%	2.2%	-3.2%	-2.8%	-9.2%	0.1%	-3.6%	1.8%	-1.0%
HCL Tech	3.2%	9.2%	13.3%	8.3%	9.0%	6.6%	15.4%	8.2%	9.5%	6.7%
Wipro	2.7%	-3.5%	-5.8%	-6.4%	-3.0%	0.7%	0.0%	-1.2%	-4.5%	-7.2%
Tech Mahindra^	-11.7%	-9.3%	-9.9%	-10.6%	4.8%	4.7%	-0.5%	10.2%	3.8%	7.0%
LTIMindtree	4.0%	4.6%	0.1%	-0.8%	-0.6%	-0.7%	2.2%	-1.2%	5.9%	12.7%

Source: Company, Nuvama Research (^ includes transport)

Exhibit 38: Hi-tech vertical (YoY growth)

Hi tech	Q1FY24	Q2FY24	Q3FY24	Q4FY24	Q1FY25	Q2FY25	Q3FY25	Q4FY25	Q1FY26	Q2FY26
TCS	5.4%	-0.9%	-3.9%	-5.7%	-3.3%	-1.0%	-1.4%	0.1%	2.5%	3.4%
Infosys	2.6%	-1.5%	-4.9%	9.0%	0.8%	6.4%	8.7%	-1.1%	2.2%	7.6%
HCL Tech	-7.2%	-9.2%	-9.2%	-8.5%	2.3%	6.6%	8.6%	10.6%	14.2%	14.0%
Wipro^	-3.9%	-3.6%	-4.1%	-7.7%	-9.1%	-7.9%	-5.9%	-2.3%	-0.2%	-0.8%
Tech Mahindra	40.7%	34.0%	25.6%	24.4%	-3.5%	2.4%	3.5%	-4.1%	-3.3%	-8.5%
LTIMindtree^	0.9%	-1.0%	0.5%	6.8%	11.8%	11.8%	8.7%	1.8%	-4.7%	-6.4%
Persistent^	21.4%	16.3%	11.8%	6.4%	2.5%	-0.4%	3.3%	9.4%	14.0%	15.5%
Mphasis^	-3.9%	21.0%	12.7%	13.6%	9.8%	0.8%	13.5%	16.6%	20.3%	24.3%
Hexaware	NA	NA	NA	NA	NA	NA	38.2%	20.7%	13.9%	-10.3%
Firstsource^	5.1%	4.4%	9.3%	12.0%	18.2%	24.2%	17.0%	10.7%	21.0%	17.4%
Zensar	-8.8%	-17.3%	-12.8%	-16.6%	-13.9%	-14.2%	-10.4%	-9.8%	-5.3%	-6.9%

Source: Company, Nuvama Research (^ includes telecom)

Exhibit 39: Healthcare vertical (YoY growth)

Healthcare	Q1FY24	Q2FY24	Q3FY24	Q4FY24	Q1FY25	Q2FY25	Q3FY25	Q4FY25	Q1FY26	Q2FY26
TCS	16.1%	6.8%	3.9%	2.3%	3.9%	1.5%	-4.1%	-6.1%	-8.3%	-1.7%
Infosys	15.1%	20.6%	8.7%	1.6%	3.5%	-2.9%	5.9%	-3.5%	-6.7%	-9.1%
HCL Tech	13.8%	11.0%	0.7%	-0.3%	-4.2%	-2.5%	-1.2%	-8.4%	-3.3%	-2.0%
Wipro	7.8%	8.0%	9.7%	8.8%	7.7%	5.0%	4.7%	-0.2%	3.5%	4.4%
Tech Mahindra	NA	NA	NA	NA	6.1%	4.4%	1.9%	2.2%	-5.1%	-1.4%
LTIMindtree	4.8%	0.6%	6.8%	14.4%	0.3%	3.1%	1.8%	-15.7%	-5.0%	-1.8%
Persistent	9.4%	11.8%	26.5%	39.1%	66.6%	70.6%	52.8%	33.6%	12.5%	6.6%
Mphasis^	8.1%	-12.5%	-3.5%	20.0%	5.7%	4.1%	-12.7%	-15.2%	-8.2%	-8.3%
Hexaware	NA	NA	NA	NA	NA	NA	16.3%	10.8%	7.1%	9.4%
Firstsource	-1.1%	-5.7%	2.8%	4.8%	26.6%	37.3%	31.6%	27.8%	12.7%	6.3%
Zensar	1.4%	-4.4%	-16.1%	-5.1%	3.2%	13.4%	24.7%	18.0%	15.6%	11.2%
Birlasoft	-4.8%	2.1%	30.5%	-0.8%	-9.2%	-11.5%	-16.6%	-17.6%	-11.5%	-4.6%

Source: Company, Nuvama Research (^ includes transport)

Exhibit 40: Telecom vertical (YoY growth)

Telecom	Q1FY24	Q2FY24	Q3FY24	Q4FY24	Q1FY25	Q2FY25	Q3FY25	Q4FY25	Q1FY26	Q2FY26
TCS	9.7%	-0.9%	-4.2%	-4.9%	-8.0%	-9.0%	-10.4%	-10.9%	-7.5%	-2.7%
Infosys	-6.5%	-4.0%	-7.2%	4.5%	5.6%	8.3%	4.1%	-1.4%	3.9%	5.5%
HCL Tech	-11.9%	-9.0%	8.4%	39.9%	69.3%	61.2%	32.5%	22.7%	13.9%	12.0%
Tech Mahindra	-13.1%	-17.0%	-18.7%	-21.3%	-9.9%	-1.7%	-5.7%	-2.2%	2.5%	-2.2%

Source: Company, Nuvama Research

Exhibit 41: US (YoY growth)

US/NA	Q1FY24	Q2FY24	Q3FY24	Q4FY24	Q1FY25	Q2FY25	Q3FY25	Q4FY25	Q1FY26	Q2FY26
TCS	4.6%	0.5%	-2.3%	-1.8%	-1.1%	-2.1%	-2.5%	-2.5%	-2.7%	-0.1%
Infosys	2.2%	1.3%	-4.8%	-2.1%	-1.1%	-2.6%	4.8%	-0.7%	0.5%	1.7%
HCL Tech	7.1%	4.2%	6.7%	9.4%	7.9%	7.6%	6.1%	-0.5%	-9.2%	-7.9%
Wipro	-1.1%	-4.3%	-4.0%	-3.3%	-0.8%	0.8%	2.1%	1.4%	1.4%	-0.2%
Tech Mahindra	1.6%	-0.4%	-1.6%	-5.0%	-0.7%	-2.0%	-2.3%	-4.7%	-5.9%	-2.7%
LTIMindtree	10.2%	6.0%	4.1%	3.8%	6.4%	7.0%	8.0%	6.8%	4.2%	3.6%
Coforge	10.3%	8.5%	6.1%	7.1%	7.6%	48.2%	69.2%	58.7%	72.5%	31.5%
Persistent	18.3%	15.0%	17.5%	16.4%	18.2%	21.6%	21.0%	21.3%	17.4%	15.4%
Mphasis	-10.1%	-12.8%	-8.1%	-0.1%	2.8%	7.7%	5.9%	6.2%	10.0%	9.5%
Hexaware	NA	NA	NA	NA	NA	NA	24.1%	18.4%	10.4%	8.4%
Firstsource	-9.6%	-3.6%	5.7%	8.6%	24.1%	30.1%	31.5%	29.5%	21.3%	16.7%
Zensar	-6.3%	-10.5%	-6.5%	-4.0%	2.4%	6.4%	10.6%	6.1%	4.3%	2.7%
Birlasoft	2.3%	8.5%	11.3%	11.5%	3.6%	5.0%	2.1%	-6.7%	-2.7%	-6.7%

Source: Company, Nuvama Research

Exhibit 42: Europe (YoY growth)

Europe	Q1FY24	Q2FY24	Q3FY24	Q4FY24	Q1FY25	Q2FY25	Q3FY25	Q4FY25	Q1FY26	Q2FY26
TCS	10.8%	13.5%	8.8%	4.3%	3.9%	7.1%	0.6%	0.4%	4.3%	1.0%
Infosys	11.4%	11.1%	9.4%	6.2%	8.2%	16.6%	11.9%	13.1%	16.3%	10.3%
HCL Tech	10.1%	8.4%	4.7%	7.1%	2.5%	6.2%	1.6%	2.6%	7.6%	6.3%
Wipro	5.9%	-1.3%	-8.9%	-10.7%	-11.6%	-4.4%	-4.6%	-8.3%	-8.2%	-7.7%
Tech Mahindra	-5.4%	-8.6%	-8.2%	-11.2%	-7.3%	3.9%	-1.0%	5.1%	11.7%	5.6%
LTIMindtree	7.4%	10.3%	0.8%	-4.1%	-1.9%	-1.4%	0.0%	-1.5%	7.4%	6.9%
Coforge	19.1%	13.5%	11.2%	9.8%	7.5%	15.7%	20.4%	16.8%	16.9%	7.0%
Persistent	33.7%	30.6%	12.4%	-14.2%	-6.7%	-1.5%	10.4%	30.0%	37.0%	38.4%
Mphasis	-2.4%	10.0%	7.3%	3.0%	9.7%	-2.9%	-8.6%	-5.7%	-16.5%	-12.3%
Hexaware	NA	NA	NA	NA	NA	NA	1.9%	-4.0%	7.5%	-2.7%
Firstsource	17.8%	10.6%	6.1%	1.7%	1.0%	11.6%	26.3%	12.3%	14.0%	7.9%
Zensar	1.6%	20.2%	13.5%	15.5%	6.6%	1.7%	7.5%	8.8%	8.6%	6.2%
Birlasoft	13.5%	-9.1%	NA	NA	NA	NA	NA	NA	NA	NA

Source: Company, Nuvama Research

Exhibit 43: RoW + India (YoY growth)

RoW + India	Q1FY24	Q2FY24	Q3FY24	Q4FY24	Q1FY25	Q2FY25	Q3FY25	Q4FY25	Q1FY26	Q2FY26
TCS	5.1%	4.1%	10.6%	13.3%	22.2%	35.7%	29.6%	15.4%	-6.3%	-15.5%
Infosys	-2.4%	0.3%	5.0%	-1.5%	4.6%	7.1%	-2.4%	2.8%	-1.0%	-2.8%
HCL Tech	-9.4%	-4.9%	-9.2%	-13.5%	-5.4%	-1.0%	2.9%	18.8%	164.3%	156.1%
Wipro	5.2%	-0.5%	-2.7%	-6.7%	-13.6%	-10.3%	-8.9%	-7.6%	-0.5%	1.6%
Tech Mahindra	-5.5%	-10.8%	-11.3%	-7.6%	-2.0%	9.6%	4.6%	4.8%	2.9%	-0.5%
LTIMindtree	-2.7%	-4.9%	3.5%	-7.6%	-7.1%	-1.7%	-5.6%	8.5%	10.2%	9.7%
Coforge	12.0%	30.3%	43.0%	9.4%	4.5%	25.0%	3.0%	48.8%	79.8%	48.8%
Persistent	-0.7%	-1.5%	-6.7%	16.1%	20.2%	13.2%	18.8%	10.7%	15.6%	18.7%
Mphasis	-1.7%	-0.1%	-4.8%	-6.9%	-3.3%	-0.6%	5.9%	5.5%	4.8%	-7.5%
Hexaware	NA	NA	NA	NA	NA	NA	12.9%	-0.1%	-7.8%	-3.3%
Firstsource	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA
Zensar	-0.8%	8.6%	9.7%	3.5%	4.3%	-4.7%	-0.2%	-0.8%	2.2%	9.8%
Birlasoft	5.1%	1.3%	NA	NA	NA	NA	-14.9%	-9.9%	-18.9%	-15.0%

Source: Company, Nuvama Research

Clients' commentary

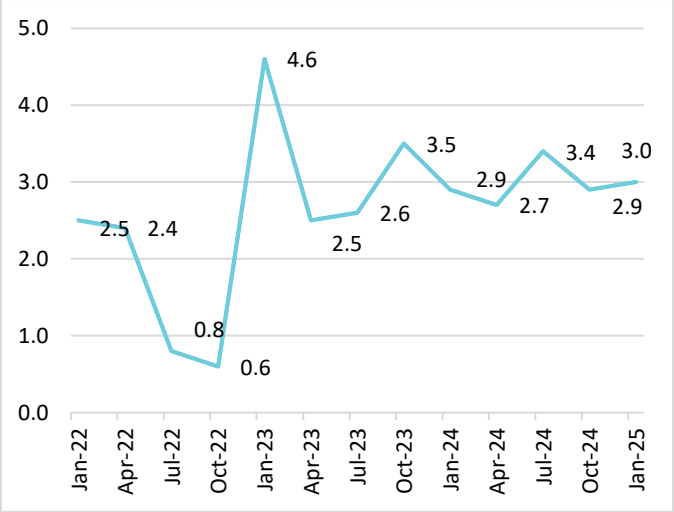
Exhibit 44: Q3CY25 commentary of large banks and retailers

		Q3CY25
Banks	Citigroup Inc	We continue to invest in technology to catalyze our transformation and become a more agile and modern bank. The US continues to be a pace setter, driven by consistent consumer spending as well as tech investments in AI and data centers. In Asia, China's domestic spending has slowed. However, the investments they are making in technology are staggering, and the world should take notice. India's fundamentals of a young, tech-savvy labor force and robust domestic consumption continue to drive high growth there. But in Europe, structural challenges still need to be dealt with for the continent to escape this low growth cycle. The increase in compensation and benefits was driven by performance-related compensation, higher severance and investment in transformation and technology, and productivity and stranded cost reduction, partially offsetting continued growth in the businesses. Expenses increased 4%, driven by investments in technology and volume-related transactional and product servicing expenses, partially offset by continued productivity savings. We execute against our strategy and drive top-line revenue growth, which continues to be fueled by our investments across the businesses and in key areas such as technology and data.
	Wells Fargo & Co	Finally, we had higher technology and advertising expenses driven by the investments we're making in our businesses to help drive growth. And I think we're going to continue to invest in sectors that we think we need to expand coverage. I think some of the technology, subsectors, I think we' l continue to look to add in people there. I think when you think about just the efficiency agenda, as we keep saying over and over, I think we still I think there's a significant amount to do across the company. Some of that's people-related, headcount-related, and you can see our headcount just gradually and coming down quarter-after quarter-after-quarter. And we still have more to do there as you start to continue to automate more processes AI sort of helps on some of that for sure. But you'll see that, I think, just continue to get more and more efficient over time on the headcount side. And then there's a whole bunch of other stuff outside of the headcount, whether it's third-party spend, technology coming off over time. there's hundreds of projects that are ongoing at any given point that drive the efficiency work that we're doing. Some of that's going to be that third-party spend, but a lot of it is also going to be continuing to rationalize some of our own costs around real estate, continuing to drive automation, which not only saves us money but improves client experience in most of what we do.
	Bank of America	We continued to invest in high tech, which drove higher digital engagement and we continued to invest in high touch. Our view of AI is it's enhanced intelligence that the teammates are going to be critical delivering the services. And therefore, it's an enhanced intelligence, not an artificial intelligence. The second is it's not something to think about. It's something that happened. As I said yesterday, 2 million customer interactions were handled through the Erica platform just on the consumer side alone. So -- and then the third thing is we think the paybacks are coming in there. But what's interesting is that the places we can apply it are different than some of the other technologies we had in the past. So and we'll take you through that. So we feel good about it. It ought to help with the overall efficiency of the company, human costs being 60%, 70% of our costs, but it comes with higher technology costs, higher work.
	Blackrock	The year-over-year increase also reflects the impact of the onboarding of GIP, Preqin, and HPS employees. G&A expense was up 18% year-over-year, primarily due to M&A transactions and higher technology investment spend.
	Morgan Stanley	Then the mantra has been to scale with our key clients to build out product capabilities to invest in technologies.
	Goldman Sachs	We see this as an opportunity to use technology to automate, drive scale, create efficiency, and actually give us the capacity to invest more in the growth of our business. we've been talking about it as a leadership team, part of the purpose of putting this out is it now allows us to talk more broadly and create a framework for the organization to understand the process that we're going to go through. And I think there's enormous upside for our business here to allow further investment in growth. And, by the way, I think, you're going to hear this from lots of companies and lots of industries that people are very focused on taking advantage of this acceleration in technology to really allow automation, efficiency, and therefore investment. And, by the way, this is one of the reasons why we're optimistic about the forward, the productivity gains in the economy from enterprises, finding ways to do this really, I think, are going to be very meaningful over the next few years. And that creates a good tailwind that will balance other macro factors that may or may not come into play.
	JP Morgan	We're spending a lot of money on it. We have very deep experts. As Jamie always says, we've been doing it for a long time, well before the current generative AI boom. But in the end, the proof is going to be in the pudding in terms of actually slowing the growth of expenses. And so what we're doing is kind of rather than saying you must prove that you're generating this much savings from AI, which turns out to be a very hard thing to do, hard to prove, and might at the margin result in people scrambling around to use AI in ways that are actually not efficient and that distract you from doing underlying process reengineering that you need to do. Have a very strong bias against having the reflective response to any given need to be to hire more people and feeling a little bit more confident on our ability to put that pressure on the organization. Because we know that even if we can't always measure it that precisely, there are definitely productivity tailwinds from AI. So that's how we're going to do it and hopefully that will show up and lower growth than we would have had otherwise. But a lot of the drivers of growth, which are per capita labor inflation and revenue-related expense and investments are always going to be there. We're never going to stop doing those things.
	Barclays	I think we continue to build on technology, continue to build on product sophistication, continue to build on client reach.
Retail	Target - Q2'26*	Finally, while technology is at the core of all our operations today, it will need to play an even stronger role going forward. As we continue investing in our future growth, we'll be making key technology investments throughout our stores, supply chain, headquarters, and digital operations to power our team and our business. While the work of this office is just beginning, we've already identified areas of opportunity, and we're acting on them with a focus on leaning into and embracing the role of technology in greater ways across all of our operations. We've identified the biggest challenges that slow us down, legacy technology that doesn't meet today's needs, manual work that can be automated, unclear accountabilities, slow decision-making, siloed goals, and a lack of access to quality data. We're also improving in embedding more technology and data within our team to get that work done and moving quickly to evaluate every one of our tech initiatives, determining which have the highest return and are most mission-critical, so we can realign resources accordingly. For example, by leveraging AI and other tools, our team can build and update forecasts more accurately while spending less time creating them. So, we're investing to deploy the power of AI more fuly across our team, freeing them up to spend more time bringing joy to our guests Since our last earnings call, we've deployed more than 10,000 new AI licenses across our team, and there's more to come. These are just a few examples of the work we've done so far and the focus we'll have going forward. Solving these chalenges will require changes, both big and small, across technology and data processing structures and organizational behaviors, and I'm committed to ensuring our teams clearly understand our priorities and are relentless in our pursuit back to growth. And to ensure our store teams can deliver an outstanding in-store shopping and digital experience, we're investing in technology and process improvements to further streamline the fulfilment process. Second, as Michael covered, we need to make decisions and work more quickly in an increasingly dynamic and unpredictable environment. This involves changing how we work and make decisions and applying a continuous productivity mindset in order to fuel investments, including the rapid deployment of technology solutions to operate more efficiently and win in the marketplace.

*Source: Company, Nuvama Research (*Previous quarters' commentary - Results yet to be announced)*

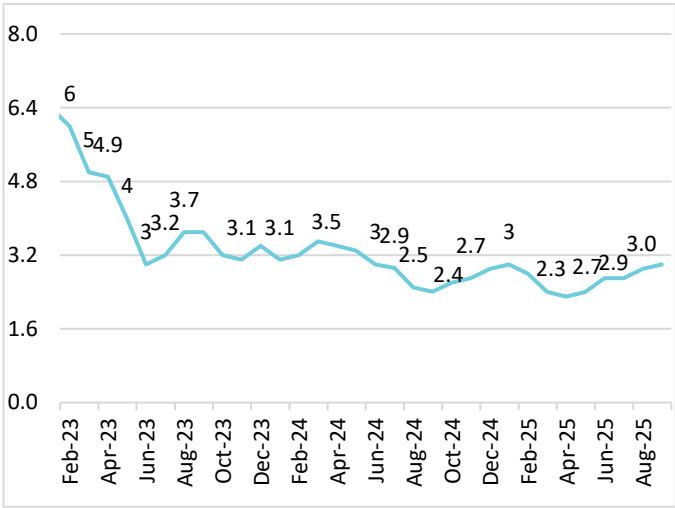
Global macro indicators

Exhibit 45: US GDP growth (%, YoY)



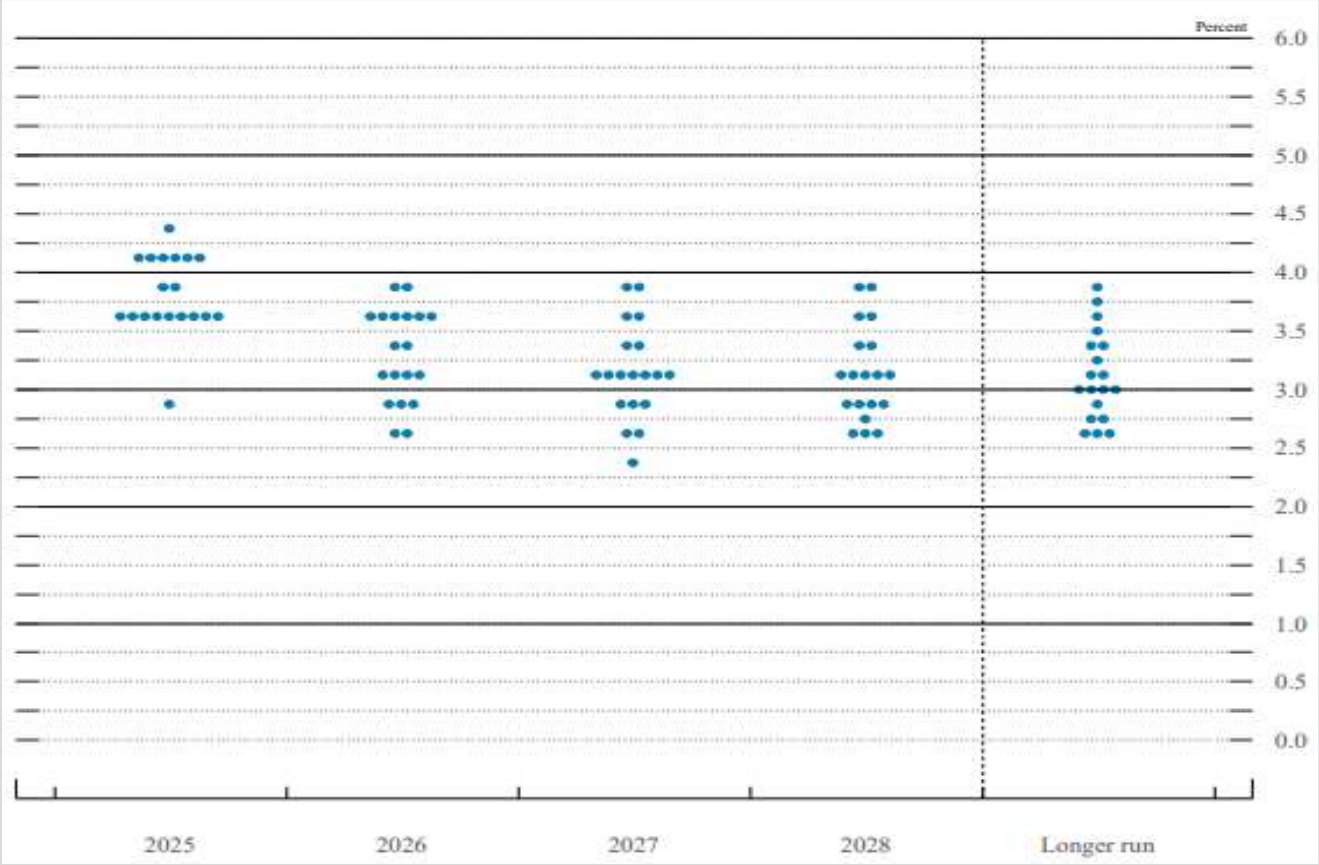
Source: U.S. Bureau of Labour Statistics, Nuvama Research

Exhibit 46: US consumer inflation (%, YoY)



Source: Bureau of Economic Analysis, Nuvama Research

Exhibit 47: US Federal Reserve dot plot



Source: Federal Reserve meeting Sep-25

Financial and recommendations

Exhibit 48: Indian IT Services companies – Recommendations from our coverage

Companies	CMP	FY26E EPS	FY27E EPS	Rating	Target	Price Target
	INR	INR	INR		PE (x)	INR
TCS	**3,025**	141	153	BUY	**23**	**4,500**
Infosys	**1,514**	69	75	BUY	**23**	**1,800**
HCL Tech	**1,541**	64	72	HOLD	**22**	**1,650**
Wipro	**240**	13	13	HOLD	**19**	**260**
Tech Mahindra	**1,398**	59	69	REDUCE	**18**	**1,350**
LTIMindtree	**5,650**	186	214	BUY	**30**	**6,900**
Coforge	**1,758**	42	54	BUY	**38**	**2,250**
Persistent	**5,865**	116	141	BUY	**45**	**7,000**
Mphasis	**2,776**	99	115	BUY	**28**	**3,400**
Hexaware	**673**	23	27	BUY	**27**	**850**
Birlasoft	**374**	15	21	REDUCE	**25**	**340**
Zensar	**723**	31	34	HOLD	**15**	**820**
Firstsource	**351**	11	13	HOLD	**25**	**360**
LTTS	**4,087**	126	156	HOLD	**22**	**4,200**
Cyient	**1,143**	55	70	HOLD	**15**	**1,220**

Source: Company, Nuvama Research

Exhibit 49: Key financial metrics

	USD rev growth (% YoY)			EBIT margins (%)			EPS growth (% YoY)		
Companies	**FY26E**	**FY27E**	**FY28E**	**FY26E**	**FY27E**	**FY28E**	**FY26E**	**FY27E**	**FY28E**
TCS	-1.1	4.6	6.6	25.0	25.6	25.7	4.9	8.9	7.2
Infosys	4.2	5.5	7.2	21.0	21.2	21.3	7.7	7.8	7.9
HCL Tech	5.5	6.7	7.6	17.5	18.0	18.3	0.2	11.3	9.1
Wipro	-0.4	3.8	4.7	16.9	17.2	17.3	1.3	3.2	5.6
TechM	1.7	5.0	6.6	12.0	12.9	13.9	22.4	18.0	14.8
LTIMindtree	6.5	9.0	10.4	15.4	15.9	16.3	19.8	14.9	13.3
Coforge	30.1	18.0	18.1	13.6	14.1	14.2	47.1	26.3	21.9
Persistent	17.2	18.7	18.4	15.7	16.3	16.5	29.6	21.1	19.6
Mphasis	7.2	12.0	12.6	15.4	15.5	15.5	11.0	15.4	12.6
Hexaware	8.1	9.9	11.0	13.2	14.9	15.3	21.6	14.2	15.4
Birlasoft	-4.7	3.7	6.0	12.4	12.6	13.0	-15.9	39.4	8.8
Zensar	4.9	7.3	8.8	13.6	14.1	14.4	10.3	7.4	10.8
Firstsource	14.8	14.3	13.8	11.6	12.0	12.4	26.0	22.4	20.1
LTTS	10.6	10.9	12.6	13.6	15.2	15.7	5.4	23.5	15.4
Cyient	-1.9	10.4	9.2	9.7	11.2	11.3	-2.5	28.7	11.9

Source: Company, Nuvama Research

Exhibit 50: Key financial ratios

	PE (x)			RoE (%)			Dividend yield (%)		
Companies	**FY26E**	**FY27E**	**FY28E**	**FY26E**	**FY27E**	**FY28E**	**FY26E**	**FY27E**	**FY28E**
TCS	21.5	19.8	18.4	50.8	51.9	52.2	3.9%	4.5%	4.8%
Infosys	21.8	20.3	18.8	26.9	26.9	27.0	3.3%	3.6%	4.0%
HCL Tech	24.0	21.5	19.7	24.4	27.0	29.2	4.2%	4.5%	4.9%
Wipro	18.9	18.3	17.4	15.2	15.5	16.4	6.2%	5.0%	5.8%
TechM	23.8	20.2	17.6	18.8	20.8	22.0	3.2%	3.6%	3.6%
LTIMindtree	30.3	26.4	23.3	22.3	22.2	21.7	1.4%	1.5%	1.6%
Coforge	41.5	32.8	26.9	19.3	20.9	21.4	0.9%	1.0%	1.0%
Persistent	50.4	41.6	34.8	24.6	25.2	25.4	0.8%	0.9%	1.1%
Mphasis	27.9	24.2	21.5	20.0	21.0	21.1	2.2%	2.3%	2.3%
Hexaware	28.7	25.1	21.8	22.2	21.6	21.0	1.4%	1.2%	1.2%
Birlasoft	24.3	17.4	16.0	11.9	15.3	15.3	2.1%	2.4%	2.4%
Zensar	23.1	21.5	19.4	15.7	15.0	14.8	1.2%	1.2%	1.2%
Firstsource	33.0	26.9	22.4	16.7	18.4	19.4	1.4%	1.7%	1.7%
LTTS	32.3	26.2	22.7	20.5	21.9	21.7	1.3%	1.5%	1.5%
Cyient	20.9	16.3	14.5	9.9	11.9	12.3	3.1%	2.8%	2.8%

Source: Company, Nuvama Research

Exhibit 51: Key financial metrics

	Revenue (USD bn)			EBIT (INR bn)			EPS (INR)		
Companies	**FY26E**	**FY27E**	**FY28E**	**FY26E**	**FY27E**	**FY28E**	**FY26E**	**FY27E**	**FY28E**
TCS	29.8	31.2	33.3	652.0	703.5	753.3	141	153	164
Infosys	20.1	21.2	22.7	368.2	395.5	424.9	69	75	81
Wipro	14.6	15.6	16.8	223.0	246.2	269.4	64	72	78
HCL Tech	10.5	10.9	11.4	154.7	166.0	174.8	13	13	14
TechM	6.4	6.7	7.1	66.9	76.0	87.2	59	69	79
LTIMindtree	4.8	5.2	5.8	64.4	72.9	82.8	186	214	243
	Revenue (USD mn)			**EBIT (INR mn)**			**EPS (INR)**		
Companies	**FY26E**	**FY27E**	**FY28E**	**FY26E**	**FY27E**	**FY28E**	**FY26E**	**FY27E**	**FY28E**
Coforge	1,881	2,220	2,623	22,042	27,499	32,850	42	54	65
Persistent	1,651	1,961	2,323	22,684	28,077	33,671	116	141	169
Mphasis	1,801	2,017	2,271	24,105	27,320	30,745	99	115	129
Hexaware	1,545	1,697	1,884	17,790	22,273	25,383	23	27	31
Birlasoft	606	628	666	6,545	6,987	7,643	15	21	23
Zensar	655	703	765	7,773	8,717	9,675	31	34	37
Firstsource	1,083	1,238	1,409	10,915	12,863	15,134	11	13	16
LTTS	1,393	1,544	1,739	16,539	20,652	23,969	126	156	180
Cyient	854	942	1,029	7,210	9,091	10,033	55	70	79

Source: Company, Nuvama Research

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